part of Arichat Metal for damages incurred by 176 NSL on a joint and several basis.

40. At the very least, this information ought to have triggered the exercise of reasonable due diligence on the part of the applicants to investigate whether 176 NSL had transferred any of its assets to Arichat Metal. In fact, that is precisely what the applicants did, which can be seen from the 2016 Email.

41. The 2016 Email was sent on December 20, 2016 from Shelley Wood, former counsel to the applicants, to Scott Johnson, the applicants' insurance adjuster who was working with Ms. Wood with respect to the 2010 Proceeding. The email was sent with a "re-line" of "AFL Tank – Some thoughts". Under the subheading "Chances of Recovery", the unredacted text of the 2016 Email is, as follows:

> It's clear from the information on the NS Registry of Joint Stocks that AFL is not operating as AMF and that Greg Boucher does not appear to be involved. He did reference this at the discovery that he was now involved with a partner Mr. John Boudreau. Because these are private companies, we have no visibility into ownership structure, assets or liabilities. We are searching the public registries for any information we can find about AFL's assets and liabilities. Boucher and AFL being judgment proof would certainly explain his very cavalier attitude to this litigation and staunch refusal to participate in any ADR including a judicial settlement conference.

42. This email arises in the context of the 2010 Proceeding, in which these same applicants were suing 176 NSL for the same damages they now seek against the AMF Respondents in the proceeding filed on February 7, 2020. On December 20, 2016, the applicants' then-counsel, Ms. Wood, was suggesting to her client and the applicants' insurance adjuster, Scott Johnson, that the defendant company in the 2010 Proceeding may be "judgment proof". Ms. Wood indicated that she was investigating the link between 176 NSL and Arichat Metal (in that email referred to respectively as "AFL" and "AMF"), and knew that Mr. Boucher was no longer involved in Arichat Metal. A reasonable inference can be drawn that by suggesting 176 NSL and Mr. Boucher were "judgment proof" in this context, the applicants knew or at least highly suspected that 176 NSL's assets had been transferred to the new entity, Arichat Metal. The applicants were certainly aware of the necessary material facts upon which a plausible inference could have been drawn that Arichat Metal was jointly liable for 176 NSL's damages.